

25SMCV03400 25SMCV03400

County: los-angeles

Division: Civil Law and Motion

Department: 207

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Case Number: 25SMCV03400 Hearing Date: July 2, 2026 Dept: 207

TENTATIVE RULING

DEPARTMENT 207

HEARING

DATE July 2, 2026

CASE

NUMBER 25SMCV03400

MOTION Motion to Vacate/Set Aside

Entry of Default

MOVING

PARTY Defendant Joel Silver,

individually and as trustee of the Joel Silver Trust

OPPOSING

PARTY Plaintiff Ziad Ghandour

MOTION

This case arises from allegations of an unrepaid loan. On July 2, 2025, Plaintiff Ziad Ghandour ("Plaintiff") filed suit against Defendant Joe Silver, individually and as trustee of the Joel Silver Trust ("Defendant") and Does 1 to 25, alleging three causes of action for (1) breach of promissory note; (2) money lent; and (3) money had and received.

On March 3, 2026, the Court issued an order granting Plaintiff's request to serve Defendant by publication, email, and mail.

The summons was published on March 16, 23, 30, and April 6. Default was entered on May 19, 2026.

Defendant now moves to set aside/vacate the entry of default. Plaintiff opposes the motion and Defendant replies.

REQUEST
FOR JUDICIAL NOTICE

Plaintiff requests judicial notice
of the following:

1. Order Granting Motion for order authorizing
Submitted Service of Summons and Complaint, filed on March 3, 2026 in the
above-captioned lawsuit, a true and correct copy of which is attached hereto
and incorporated herein, by this reference, as Exhibit "A."
2. Proof of Service by First-Class Mail, filed on
May 13, 2026 in the above-captioned lawsuit, a true and correct copy of which
is attached hereto and incorporated herein, by this reference, as Exhibit
"B."
3. Proof of Electronic Service, filed on April
23, 2026 in the above-captioned lawsuit, a true and correct copy of which is
attached hereto and incorporated herein, by this reference, as Exhibit
"C."
4. Request for Entry of Default, a true and
correct copy of which is attached hereto and incorporated herein, by this
reference, as Exhibit "D."

Judicial notice may be taken
of records of any court in this state.

(Evid. Code, § 452, subd. (d)(1).)

Because the above documents are all part of the Court's records for this
case, the Court may take judicial notice of them. (Ibid.) However, "while courts are free to take
judicial notice of the existence of each document in a court file, including
the truth of results reached, they may not take judicial notice of the truth of

hearsay statements in decisions and court files. Courts may not take judicial notice of allegations in affidavits, declarations and probation reports in court records because such matters are reasonably subject to dispute and therefore require formal proof.” (Lockley v. Law Office of Cantrell, Green, Pekich, Cruz & McCort (2001) 91 Cal.App.4th 875, 882 [cleaned up].)

Accordingly, the Court takes judicial notice of the existence, filing, and legal consequences of the above documents, but not the truth of the allegations or other hearsay statements contained therein.

ANALYSIS

I.

DISCRETIONARY AND MANDATORY RELIEF

“Proceeding to judgment in the absence of a party is an extraordinary and disfavored practice in Anglo–American jurisprudence: The policy of the law is to have every litigated case tried upon its merits, and it looks with disfavor upon a party, who, regardless of the merits of the case, attempts to take advantage of the mistake, surprise, inadvertence, or neglect of his adversary.” (Au-Yang v. Barton (1999) 21 Cal.4th 958, 963 [cleaned up].)

Code of Civil procedure section 473 “includes a discretionary provision, which applies permissively, and a mandatory provision, which applies as of right.” (Minick v. City of Petaluma (2016) 3 Cal.App.5th 15, 25 (hereafter Minick).) “Section 473 is a remedial statute to be “applied liberally” in favor of relief if the opposing party will not suffer prejudice. Because the law strongly favors trial and disposition on the merits, any doubts in applying section 473 must be resolved in favor of the party seeking relief from default. Unless inexcusable neglect is clear, the policy favoring trial on the merits prevails.” (Minick, supra, 3 Cal.App.5th at p. 24 [cleaned up].)

The party or the legal representative must seek such relief “within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken.” (Code Civ. Proc., § 473, subd. (b); see Rappleyea v. Campbell (1994) 8 Cal.4th 975, 980 [“because more than

six months had elapsed from the entry of default, and hence relief under section 473 was unavailable”]; *People v.*

The North River Ins. Co. (2011) 200 Ca.App.4th 712, 721 [motion for relief under section 473 must be brought “within a reasonable time, in no case exceeding six months”]. “The six-month limit is mandatory; a court has no authority to grant relief under section 473, subdivision (b), unless an application is made within the six-month period.” (*Arambula v. Union Carbide Corp.* (2005) 128 Cal.App.4th 333, 340, citations omitted.)

A.

DISCRETIONARY
RELIEF

Per Code of Civil Procedure

section 473, subdivision (b), a court may “relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect.”

B.

MANDATORY
RELIEF

Notwithstanding any other requirements of this section, the court shall, whenever an application for relief is made no more than six months after entry of judgment, is in proper form, and is accompanied by an attorney's sworn affidavit attesting to his or her mistake, inadvertence, surprise, or neglect, vacate any (1) resulting default entered by the clerk against his or her client, and which will result in entry of a default judgment, or (2) resulting default judgment or dismissal entered against his or her client, unless the court finds that the default or dismissal was not in fact caused by the attorney's mistake, inadvertence, surprise, or neglect.

(Code Civ. Proc., § 473, subd. (b).) “In considering whether the trial court properly denied relief under section 473(b), the first question is the sufficiency of defendants' showing of attorney fault, if believed, to trigger the mandatory relief provisions of that statute.” (*Standard Microsystems Corp. v. Winbond Electronics Corp.* (2009) 179 Cal.App.4th 868, 896, disapproved on other grounds by *Even Zohar Construction & Remodeling, Inc. v. Bellaire*

Townhouses, LLC (2015) 61 Cal.4th 830 (hereafter Standard).) "Under section 473(b), a party is entitled to relief from a default and resulting judgment whenever, on timely application for relief, his attorney 'attest[s] to his or her mistake, inadvertence, surprise, or neglect' in connection with the default or the judgment." (Ibid.)

Defendant moves to set aside the default on the grounds that he was out of the country when the complaint was served by publication and the default entered, during which time he received conflicting information about whether the case was being dismissed or served by publication and prosecuted.

In support, Defendant advances his own declaration, which provides:

4. While

this Lawsuit has been pending, I have been out of the country and out of the state. In addition, I have been in communications with Plaintiff and was informed by Plaintiff that the Lawsuit was dismissed and/or was in the process of being dismissed and no response was required. As a result, I did not inquire into the matter further or retain an attorney. While I was communicating with Plaintiff and was out of the country, I received some documents via email, such as the proof of service of publication and the complaint and summons. These documents caused me to be confused because I believed the Lawsuit had been resolved based on representations made to me by Plaintiff: Although some of the documents were confusing, I did not believe any further action was needed on my part again, based on representations made to me by Plaintiff. In addition, because I was out of the country and out of the state, I was unable to receive notice by publication. Further, because of my communications with Plaintiff and the fact that I was emailed with the documents and service was made by publication, which resulted in multiple conflicting deadlines, it was unclear whether a response was required and if so, by when. Further, I was never personally served so I did not know the deadline to respond to the Complaint had even begun. I have been involved in litigation before and believed that the time for me to respond could not commence until I was personally served so I did not know the time line for me to respond to the Complaint had even begun.

5. On or about May 19, 2026, I received the Request for Entry of Default by email.

Upon review of the document, I learned that I had been misled into believing no response was required and Plaintiff was attempting to obtain a judgment against me. I immediately forwarded the Request for Entry of Default to my attorney to take all appropriate action. I understand that on

or about May 28, 2026, my attorneys requested that Plaintiff's counsel stipulate to relief from entry of default and allow me to answer the Complaint. Upon refusing to stipulate to the requested for relief, I filed the Motion.

(Silver
Decl. ¶¶ 4-5.)

In opposition, Plaintiff argues that Defendant deliberately evaded personal service seven times in July 2025 and opened Plaintiff's emails warning of the impending default. Plaintiff also advances a December 11, 2025 email from Defendant acknowledging the lawsuit.
(Ghandour Decl. ¶ 8 and Ex. B.)

Further, within minutes of being served by email, Defendant responded, "Ziad ended this lawsuit. Please talk to your client." Defendant was corrected, "[w]e have spoken with our client, and he is moving forward with the lawsuit." Defendant again responded, "No, he is not." Defendant was again corrected, "[t]his email shall constitute notice that Mr. Ghandour does not intend to dismiss the lawsuit." Defendant responded, "My guess is you no longer represent Mr. Ghandour. According to your client the lawsuit is dismissed. I will not engage with you again. Please stop communicating with me." (Cortez Decl. ¶ 11 and Ex. M.)

Defendant then left a voicemail for Plaintiff, indicating, "Ziad, please call me. This lawsuit doesn't stop. Please call me. It's Joel." (Ghandour Decl. ¶ 9 and Ex. O.)

The Court finds that the evidence advanced by both parties demonstrates confusion on the part of Defendant justifying relief.

Plaintiff also points out in opposition that the motion is procedurally improper, because Defendant failed to attached a proposed responsive pleading. However, Defendant has cured this procedural deficiency by attaching a proposed answer to the reply.

Plaintiff also argues in opposition that if the Court grants relief and sets aside the default, it should impose sanctions pursuant to Code of Civil Procedure section 473, subdivision (c), which provides:

(c)(1) Whenever the court grants relief from a default, default judgment, or dismissal based on any of the provisions of this section, the court may do any of the following:

(A) Impose a penalty of no greater than one thousand dollars (\$1,000) upon an offending attorney or party.

(B) Direct that an offending attorney pay an amount no greater than one thousand dollars (\$1,000) to the State Bar Client Security Fund.

(C) Grant other relief as is appropriate.

While Plaintiff contends that Defendant was intentionally avoiding service, Defendant explains that he was out of the country, which is consistent with Plaintiff's evidence that Defendant's son told the process server Defendant was not home. Simply not being home is not grounds to impose a penalty.

Plaintiff also asserts that Defendant's then-counsel, Hill, Farrer & Burrill LLP, whom Defendant retained to negotiate the loan issue, refused to accept service in November 24, 2025.

(Cortez Decl. ¶¶ 5-6 and Ex. J.)

But Defendant has not retained Hill Farrer to represent him in this action. Not agreeing to retain a specific law firm to represent Defendant in this matter is also not grounds to impose a penalty.

Therefore, the Court does not find, on the record before it, that imposition of a penalty is appropriate.

CONCLUSION

For the foregoing reasons, the Court grants Defendant's Motion to Vacate/Set Aside the Default entered against him on May 19, 2026. Further, finding the

evidence does not support a penalty, the Court denies Plaintiff's request to impose a monetary penalty against Defendant in conjunction with setting aside the entry of default.

Further, the Court orders Defendant to file and serve the proposed Answer on or before July 16, 2026.

Further, on the Court's own motion, the Court vacates the Order to Show Cause re Entry of Default Judgment set on August 26, 2026 as moot.

Further, the Court sets a Case Management Conference on August 26, 2026 at 8:30 A.M. in Department 207. All parties shall comply with California Rules of Court, rules 3.722, et seq., regarding Initial and Further Case Management Conferences. In particular, all parties shall adhere to the duty to meet and confer (Rule 3.724) and to the requirement to prepare and file Case Management Statements (Rule 3.725).

Defendant shall provide notice of the Court's ruling and file the notice with a proof of service forthwith.

DATED:

July 2, 2026 _____/s/_____

Michael E. Whitaker

Judge
of the Superior Court